

Types of Business Analytics



Type of Business Analytics

- **Descriptive Analytics:**

- Descriptive analytics focuses on using historical and current data to understand what has happened in the past and how it impacts present business performance. It provides insights into trends, patterns, and outcomes to make informed decisions.
 - *Business Example:* A retail company uses descriptive analytics to analyze last quarter's sales performance, broken down by product category and region. This helps the company understand which products performed best and where, enabling them to identify top-selling items and underperforming locations.

- **Predictive Analytics:**

- Predictive analytics leverages historical data to predict future outcomes. By identifying patterns or relationships within the data, predictive models forecast future trends or behaviors. This allows businesses to anticipate changes and make proactive decisions.
 - *Business Example:* An e-commerce company uses predictive analytics to forecast customer demand for the upcoming holiday season. By analyzing past holiday shopping patterns, customer preferences, and trends, the company can stock up on popular items and optimize the inventory to meet expected demand.

- **Prescriptive Analytics:**

- Prescriptive analytics goes a step further by recommending actions or strategies that will optimize outcomes. It evaluates different scenarios and suggests the best course of action to either minimize risks or maximize results based on specific business objectives.
 - *Business Example:* A logistics company uses prescriptive analytics to determine the most efficient delivery routes for its fleet. By considering factors like traffic, fuel costs, and delivery time windows, the system identifies the best routes to minimize transportation costs while ensuring on-time delivery.

Summary – Types of Business Analytics

- Descriptive Analytics:
 - Gain insights into what happened in the past and what is happening now.
- Predictive Analytics:
 - Use historical data to forecast what's likely to happen in the future.
- Prescriptive analytics:
 - Determine the best actions and optimize decisions for the best outcomes.